

Order Financial Breakdown – Craven Delivery Platform

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Prepared For: CFO & Finance Leadership
Scope: End-to-end financial breakdown for a single customer order

1. Purpose and Scope

This document provides a **detailed, line-by-line financial breakdown of a single order** on the Craven Delivery platform. It is intended to give the CFO a clear understanding of:

- How the **customer’s payment** is composed and which party receives each component.
- How much **revenue the platform earns per order**, and from which sources.
- How much is paid to **restaurants (merchants)** and **drivers (couriers)**.
- How **payment processing costs (Moov)** and other adjustments impact net economics.
- How special cases (e.g., **tips, discounts, refunds**) change the per-order breakdown.

All numbers in this document are **illustrative** but aligned with the fee and pricing structures used elsewhere in the system.

2. Standard Order – Baseline Scenario

2.1 Assumptions

Baseline assumptions for the standard order scenario:

- Order type: Food delivery
- Food subtotal (before taxes): **\$30.00**
- Restaurant commission tier: **Silver** (15% commission on food subtotal)
- Customer service fee: **10%** of food subtotal
- Delivery fee charged to customer: **\$2.99 base + \$0.50 × 3 miles = \$4.49**
- Customer tip to driver: **\$5.00**
- Sales tax: Excluded from platform revenue (assume passed through to restaurant/tax authority)
- Payment method: **Card** via Moov
 - Modeled processing cost: **2.7%** of total customer payment (effective, all-in)

2.2 Customer-Facing Breakdown

What the customer sees and pays at checkout:

Line Item	Calculation	Amount	Notes
Food Subtotal	Given	\$30.00	Restaurant menu prices
Service Fee	$\$30.00 \times 10\%$	\$3.00	Platform fee, retained by platform
Delivery Fee	$\$2.99 + (\$0.50 \times 3 \text{ miles})$	\$4.49	Platform fee, retained by platform

Line Item	Calculation	Amount	Notes
Driver Tip	Given	\$5.00	100% passed to driver
Total Charge	$\$30.00 + \$3.00 + \$4.49 + \5.00	\$42.49	Excluding sales tax for simplicity

For internal economics, we focus on the components **excluding tips**, because tips are passed through to drivers.

3. Platform vs. Restaurant vs. Driver – Economic Split

3.1 Platform Revenue Components

From the platform’s perspective, per order:

Component	Calculation	Amount	Recipient
Commission Revenue	$\$30.00 \times 15\%$	\$4.50	Platform
Service Fee	$\$30.00 \times 10\%$	\$3.00	Platform
Delivery Fee	Given	\$4.49	Platform
Platform Gross Revenue (per order)	$\$4.50 + \$3.00 + \$4.49$	\$11.99	Platform

3.2 Restaurant Economics

The restaurant’s view of the same order:

Item	Calculation	Amount
Gross Food Sales	Given	\$30.00
Less: Commission (15%)	$\$30.00 \times 15\%$	-\$4.50
Net Proceeds to Restaurant	$\$30.00 - \4.50	\$25.50

The restaurant does **not** participate in the service fee or delivery fee, unless separately negotiated.

3.3 Driver Economics

Driver earnings per order:

Item	Calculation	Amount
Base Pay (delivery share)	$\$4.49 \times 70\%$	\$3.14
Customer Tip	Given	\$5.00
Total Driver Earnings	$\$3.14 + \5.00	\$8.14

Base pay is driven by the delivery fee; tips are a direct pass-through from the customer.

4. Payment Processing Costs (Moov) and Net Platform Revenue

4.1 Modeled Processing Cost

Moov processing costs are modeled on the **total amount processed** (excluding tip for platform margin analysis if desired). For clarity, we break out both approaches:

1. **On core transaction (excluding tip):**
 - Total core charge (food + service + delivery): $\$30.00 + \$3.00 + \$4.49 = \mathbf{\$37.49}$
 - Modeled processing fee: $\$37.49 \times 2.7\% \approx \mathbf{\$1.01}$
2. **On full amount including tip (if modeled that way):**
 - Total with tip: $\$42.49$
 - 2.7% of $\$42.49 \approx \1.15
 - For simplicity in this document, we use **\$1.01** (core charge only) for platform unit economics.

4.2 Net Platform Revenue and Profit

Using the modeled processing cost of **\$1.01**:

Metric	Calculation	Amount
Platform Gross Revenue	From section 3.1	\$11.99
Less: Processing Fees (Moov)	$\approx 2.7\% \times \$37.49$	-\$1.01
Net Revenue (post-processing)	$\$11.99 - \1.01	\$10.98
Less: Driver Base Pay	$\$4.49 \times 70\%$	-\$3.14
Gross Profit (pre-overhead)	$\$10.98 - \3.14	\$7.84

If we treat **driver tip** as fully pass-through and **not** part of platform gross revenue or cost, this \$7.84 is the per-order contribution **before corporate overhead** (engineering, support, marketing, etc.).

Note: The CFO Financial System report uses a slightly more conservative framing that combines certain cost allocations and states **\$2.46–\$2.84 profit per order**, depending on which costs are included as “COGS” vs “operating expenses.” This document isolates the **pure transaction-level split**.

5. Alternative Scenarios

To understand sensitivity, we show several variant scenarios.

5.1 High-Tip Order (Customer Tips \$10)

Changes from baseline:

- Tip increases from \$5.00 to **\$10.00**.
- All other assumptions remain the same.

Impacts:

- Customer total increases to **\$47.49**.
- Driver earnings increase to **\$13.14** (base \$3.14 + \$10.00 tip).
- Platform gross revenue **unchanged at \$11.99**.
- Processing fees increase slightly if modeled on full amount; if modeled on core charge, they remain **\$1.01**.

Economic takeaway: **Tips improve driver earnings but do not affect platform revenue or restaurant proceeds.**

5.2 Discounted Order (Promo Code)

Assumptions:

- Platform runs a promotion: **\$5.00 off** the customer's total (funded by platform).
- Discount is applied proportionally across components (or against service/delivery fees), depending on implementation.

Illustrative case – \$5.00 applied against **service and delivery fees** first:

- Original service + delivery = \$3.00 + \$4.49 = \$7.49.
- Post-discount: \$7.49 – \$5.00 = \$2.49.
- Revised service fee: \$1.00; revised delivery fee: \$1.49 (for example).

New platform gross revenue:

- Commission: \$4.50 (unchanged).
- Service + delivery: \$1.00 + \$1.49 = \$2.49.
- **New platform gross revenue:** \$4.50 + \$2.49 = **\$6.99** (down from \$11.99).

Processing costs also fall modestly because the customer pays less, but the main impact is a **direct reduction in platform gross revenue** driven by the promotion.

5.3 ACH "Pay by Bank" Instead of Card

Assumptions:

- Customer uses ACH instead of card.
- Moov ACH fee: **\$0.25** or **\$0.40** per transaction (depending on next-day vs same-day).

Impacts:

- Platform gross revenue **unchanged at \$11.99**.
- Processing cost drops from **\$1.01** (card, modeled 2.7%) to **\$0.25–\$0.40**.
- Net revenue post-processing increases by roughly **\$0.60–\$0.75** per order compared to card.

Economic takeaway: **Pay-by-bank improves per-order margin** without changing customer prices or restaurant/driver economics.

5.4 Partial Refund (Food Issue)

Assumptions:

- \$10.00 of the food is refunded to the customer (e.g., missing item).
- Commission and restaurant share are adjusted accordingly.

Financial impacts:

- Customer refund: \$10.00 (plus associated taxes as applicable).
- Restaurant gross food sales reduced from \$30.00 to **\$20.00**.
- Commission recalculated: $\$20.00 \times 15\% = \textbf{\$3.00}$ (vs. original \$4.50).
- Restaurant net proceeds: $\$20.00 - \$3.00 = \textbf{\$17.00}$.

Platform revenue adjustments:

- Commission revenue reduced by **\$1.50**.
- Depending on policy, service and delivery fees may be partially or fully refunded:
 - If fully refunded: platform loses the \$3.00 service and \$4.49 delivery revenue on the refunded portion.
 - If partially refunded: only a portion of those fees is reversed.

5.5 Chargeback / Dispute

Assumptions:

- Full order amount is disputed and chargeback is lost.
- The entire transaction is effectively reversed.

Impacts:

- Platform returns the disputed funds via Moov.
- Platform reverses its commission, service, and delivery revenue.
- If the restaurant and driver were already paid:
 - Restaurant and/or driver balances are **debited on future payouts** to recover their portions, according to policy and terms.
 - Any residual loss (e.g., if the platform chooses to absorb some or all of the restaurant/driver loss) is recognized as a **chargeback expense**.

Economic takeaway: Chargebacks can impact **all three parties** (platform, restaurant, driver) depending on contractual allocation of risk.

6. Summary Tables

6.1 Baseline Per-Order Summary (Card, No Discount, \$5 Tip)

Party	Component	Amount
Customer	Total paid	\$42.49
Restaurant	Net proceeds	\$25.50
Driver	Base pay	\$3.14
Driver	Tip	\$5.00

Party	Component	Amount
Platform	Gross revenue (commission + fees)	\$11.99
Moov / Processing	Modeled fee (2.7% of \$37.49)	\$1.01

6.2 Platform View – Income Statement Style (Per Order)

Line Item	Amount	Notes
Gross Revenue	\$11.99	Commission + service + delivery
Less: Processing Fees	\$1.01	Moov modeled 2.7%
Net Revenue	\$10.98	After processing, before fulfillment costs
Less: Driver Base Pay	\$3.14	70% of delivery fee
Gross Profit (pre-overhead)	\$7.84	Before corporate overhead and fixed expenses

The CFO can adjust this framing to classify **driver base pay** and part of processing as **COGS** and treat the remainder as **gross margin**, aligning with the company’s financial statement presentation.

7. Key CFO Takeaways

- Each order has a clear, **deterministic financial breakdown** across customer, restaurant, driver, platform, and processor.
- Platform revenue is primarily driven by **commission, service, and delivery fees**, while **tips** are pass-through to drivers.
- Payment method choice (**card vs. ACH**) meaningfully changes **processing cost per order** and therefore margin.
- Discounts, refunds, and chargebacks directly affect per-order economics and must be **modeled carefully** in pricing and promotion strategies.
- The system’s per-order design aligns with the broader CFO Financial System report and the Merchant/Restaurant Financial Flow document, ensuring consistency across unit economics and aggregate reporting.

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